Brand transparency, trust and loyalty

Abstract. Two studies test whether perceived transparency builds loyalty through brand trust. Study 1 is a survey of 300 consumers; Study 2 is an online experiment with 240 participants. H1: Brand trust mediates the effect of perceived transparency on loyalty. H2: Brand familiarity moderates the effect of transparency on brand trust.

Study 1. A consumer panel completed an online survey. The final sample comprised 300 respondents.

Participants were 52% female (M_{age} = 34.2 years).

The indirect effect of perceived transparency on loyalty through brand trust was 0.12, 95% bootstrap CI [0.06, 0.19]. The direct effect remained significant (beta = 0.20, p = .01).

Study 2. Participants were recruited on Prolific for an online experiment; 240 remained after checks. The effect of transparency on brand trust was weak at low familiarity (-1 SD: beta = 0.05, p = .41) and strong at high familiarity (+1 SD: beta = 0.31, p < .001), supporting H2.

Table 4. Summary of studies

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Discussion. Transparency builds loyalty through trust, more so for familiar brands.